

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

**RESPONDENT'S RESPONSE TO NON-PARTY SDSA AMERICA'S MOTION TO
QUASH**

Pursuant to 46 C.F.R. §§502.69 and 502.71, SM LINE CORPORATION ("SM Line" or "Respondent") respectfully submits this opposition to Non-Party Samsung SDS America, Inc.'s ("SDSA") Motion to Quash or Modify Subpoena, or Alternatively for a Protective Order ("Motion to Quash"). For the reasons set forth below, the Motion to Quash should be denied.

I. The Subpoena is Sufficiently Tailored to Reasonably Lead to the Discovery of Admissible Evidence

SM Line served a subpoena on SDSA on January 19, 2023, seeking documents pertaining and relevant to the instant action (the "Subpoena"). C.F.R. § 502.131 allows for the issuance of subpoenas for the production of evidence upon request of any party. Where, such as here, allegations are made that the subpoena sought may be unduly burdensome, the administrative law judge may, in his or her discretion, as a condition precedent to the issuance of the subpoena, require the party seeking the subpoena to show the general relevance and reasonable scope of the evidence sought. While SDSA pleads ignorance with regard to the documents and records sought

in connection to the Subpoena, a plethora of evidence exists already to outline the relevance and reasonable scope of the evidence sought. SM Line was able to identify the containers and timeline at issue in SEA's claim, as ultimately was SDSA according to their own Motion and Declaration in Support. *See* Motion to Quash at 4; *see also* Declaration in Support at ¶4. Accordingly, SM Line has met their burden and the point is moot.

Notwithstanding, if required, SM Line would be able to provide a list of thousands of bills of lading and containers it believes to be part of SEA's claims that, in turn, implicate SDSA. To be clear, SM Line remains unsure exactly which containers or bills of lading SEA is specifically challenging in this proceeding. SEA has never provided an accounting or even a simple spreadsheet identifying the shipments for which they seek damages. Regardless, SM Line can provide all 7,881 bills of lading or 12,521 container numbers that SM Line has issued to and carried for SEA between January 2020 and December 2022.

As mentioned previously in our motion for leave to file a third party complaint, upon information and belief SEA may have paid SDSA millions of dollars for a number of operational charges, including storage fees and demurrage charges, relevant to the shipments involved in SEA's complaint. The bottom line is that there is a real and relevant connection between the SM Line containers carried on SEA's behalf and SDSA. There can be no denying the legal, operational and commercial relationships and responsibilities shared between SEA and SDSA.

A. SDSA was able to Identify the Relevant Containers and Time Period Implicated in the Subpoena

In its Motion to Quash, SDSA alleges that SM Line has provided "no clue" how to "determine the scope of SEA's claims" and that "it is manifestly unfair and unduly burdensome to expect a non-party to the proceeding to incur the expense of trying to determine what

‘Containers’ are at issue.” *See* Motion to Quash at 3-4. SDSA also states that the subpoena fails to provide a time period during which the relevant Containers were shipped. *Id* at 4. SDSA then states it was nevertheless able to identify information that might be relevant to this claim and concludes that it did not have any involvement in the shipments pertinent to SEA’s Complaint against SM Line. In fact, its motion states that “SDSA can confirm it had no involvement in SML “store door” movements for SEA or payments of related demurrage, detention, storage and inland transportation charges in the 2020-2021 time period. *Id*. Whether SDSA is willfully choosing to misinterpret the term “store door” movements and hopes to skate by its obligations thereunder, remains to be seen. But as outlined below, SDSA was most certainly involved in the above-mentioned movements and payments, including but not limited to initiating operational issues and disputing SM Line charges involving SEA shipments (and the return of empty containers that carried SEA shipments). Certainly there are scores of SM Line bills of lading (including “store door” or “container yard” moves) that clearly reference SDSA as a notify party.

Even if it were determined that SDSA did not issue work orders and potentially was not involved in “store door” movements, it does not follow that SDSA was not involved in the costs and charges SEA seeks to recover from SM Line. In fact, SM Line is already in possession of extensive evidence of SDSA being directly involved in these charges—which include communications directly between SDSA and SM Line with respect to prepull, rail storage, and detention charges, as well as handling irregular cases, which may indeed be a significant part of SEA’s claim against SM Line. For these reasons, SM Line issued the Subpoena and respectfully requests that the Commission direct SDSA to comply with it. Attached hereto as **Exhibit A** are true and correct copies of a small selection of examples which include seven (7) communications and payment records produced by both parties during discovery which implicate SDSA.

B. SM Line has Met its Burden

As mentioned above, the burden of proof to defeat a motion to quash is for the party to prove the general relevance and reasonable scope of the evidence sought. SM Line has met that burden. As outlined below, SDSA is named time and again in the SM Line bills of lading that are implicated in this dispute. More than that, SM Line has evidence, also referenced here, of SDSA making direct payments to SM Line. Additionally, SM Line has multiple emails with SDSA signature lines (sometimes with SEA in copy, sometimes without) with respect to handling SEA's inland shipments. *See* Exhibit A. For SDSA to suggest that it had "no involvement" with SEA's shipments or payments of demurrage, detention and storage charges is patently false.

Contrary to SDSA's statements, SDSA directly and sometimes exclusively dealt with SM Line regarding SEA shipments implicated in the instant action. Included in more than 1,200 emails and documents produced by SEA, and additional documents produced by SM Line in this proceeding, there are tens if not hundreds of emails and documents revealing the involvement of SDSA in the SEA movements. *See* Exhibit A. These communications involve SDSA making

exclusive or direct communications with SM Line with respect to SEA shipments. Often those communications – *with SEA’s representatives included in copy* – involve SDSA disputing charges and discussing how to handle SEA shipments.

Additionally, in this proceeding SEA has produced bills of lading which expressly identify SDSA as the party involved in the delivery of shipments. Attached hereto as **Exhibit B** are true and correct copies of a random sampling of eight (8) bills of lading produced by SEA identifying SDSA. These bills of lading are representative of hundreds, if not thousands of cases that SDSA claims they’re not responsible for, nor involved in.

It is for the reasons outlined above that SM Line’s subpoena is relevant and should be complied with.

SM Line’s ability to defend the refund claims by SEA will require an understanding of the full scope of the relationship and the responsibilities of SDSA, who played a critical role on behalf of SEA with regard to the movement of and the charges related to the SEA shipments and returning the empty containers as alleged by SEA against SM Line in this proceeding.

II. The Corporate and Financial Information Sought from SDSA is not Confidential and is Highly Relevant

SDSA’s corporate and financial information is respectfully requested – and required to be disclosed—because SM Line endeavors to understand the corporate structure of both SEA and SDSA. SM Line believes SEA and SDSA have recently (during the relevant 2019-2022 time period) gone through certain structural changes. At the very least, these changes involved logistics teams and divisions of SEA and/or SDSA where the two became very much integrated with regard to the process of securing vendors and handling Samsung products being imported into the United States and being distributed or delivered to the customers of SEA. This case

clearly involves substantial and extensive financial transactions, implicating both SEA and SDSA. As the record shows, SDSA has made significant payments to SM Line on behalf of SEA. Upon information and belief, SEA, as addressed earlier, may have paid millions of dollars to SDSA for their services. SM Line's ability to mount an appropriate defense warrants disclosure of the information involving the commercial and financial relationship between SEA and SDSA, at least during the years between 2019 and 2022. SM Line cannot presently identify how a profit or loss is allocated between the two entities, and therefore who is the proper party to bring the captioned proceeding.

Getting an accurate understanding of the overall financial relationships between SEA and SDSA is critical to understanding what if any damages are appropriately claimed in this proceeding.

Moreover, the information requested with regard to SDSA's corporate and financial information would be subject to the same confidentiality agreement the Complainant and Respondent have already entered into on September 19, 2023, including the protections of an "Attorneys Eyes Only" option (which may be challenged, if necessary). Should SDSA prefer to negotiate a separate confidentiality agreement, the undersigned would certainly be amenable to doing so.

III. Conclusion

For the foregoing reasons, the Motion to Quash should be denied.

/s/Wook Chung

Wook Chung

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Dated: January 12, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 12th day of January 2024, the foregoing document was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
judges@fmc.gov

SDS AMERICA, INC.
c/o GKG Law, P.C.

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/s/Wook Chung

EXHIBIT A

**THE FULL CONTENTS OF THIS EXHIBIT ARE
CONFIDENTIAL AND RESTRICTED**

EXHIBIT B

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